

Prabhu. She, however, agrees that there are grounds for India figuring lower in the rankings than other smaller countries with modest capacities to spend. India spends merely 3-4 per cent of its GDP on education and just 1-2 per cent on healthcare, which is far lesser than that by even countries like Namibia and Bolivia. Says Prabhu, "India has issues of efficiency in health system delivery. Even Bangladesh with lower income and similar level of public health spending of (0.9 per cent of GDP) has 99 per cent of one-year-old children immunised against TB and 81 per cent against measles in 2005 compared to India where the figures are much lower at 75 per cent for TB and 58 per cent against measles."

Rs 900 cr is paid as bribes by 30 per cent of Indians, officially below poverty line.



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HUMAN DEVELOPMENT REMAINS A LOW PRIORITY IN INDIA

One can understand the time lag between public spending and improvement in social indicators like health or literacy, but there is no real justification for India lagging behind in economic and business reforms measures. Despite 17 years of liberalisation, India ranks poorly in indices of both openness and competitiveness. Take foreign investments. India ranks as one of the most unfriendly destinations for investors. It takes long to start a business and longer to get licences, regulatory approvals and credit. It takes even longer to shut down a business compared to some of the economically backward countries like Tunisia, Pakistan and Chile. India may boast of 10 million new mobile owners a month, but according to WEF India

ranks 52 in transport and communication, lower than Croatia, Cyprus, Jordan and even Latvia. In regulatory environment, India is at 64, way below even Indonesia at 16. Yet, India is the second most attractive destination after China because of its economic stability, trade openness and sound financial markets. India is also acknowledged as the best offshore location because of low costs, large skilled workforce and fluency in English language. India's FDI inflow during April-November 2008 exceeded \$23.3 billion by registering a growth of 45 per cent compared to last year, despite the slowdown. Clearly, if it were not for the size of the market and stability, not many would bother knocking at our door.

There is, as always, the issue of interpretation and perception which some surveyors tend to miss out on. The United Nations Industrial Development Organisation (UNIDO) Report of 2009 ranks India lower at 54 from 51 in 2000, even Slovenia, Cyprus and El Salvador are above India in the competitive industrial performance rankings. When contrasted with four years of high growth the facts question the credibility of the report. As Philippe R. Scholtes, head of UNIDO regional office for South Asia, admits, the report does not fully reflect the strides made by India as the data is dated to 2005. But even then the fact is "India would have to do much more for its real potential to improve its global rankings". Scholtes believes India needs to develop a stronger base in manufactured exports which steered the phenomenal growth of China.

That would be music to the ears of people like V. Krishnamurthy who headed the National Council for Manufacturing Competitiveness. The truth is that India cannot live off just the geography of a large domestic market but will have to work to improve both human and physical infrastructural issues. And, indeed, this could, and should, be a part of the philosophy behind the stimulus packages. Working on the downside now will empower India for the upside.

Interestingly, one area where no amount of flagellation will help is corruption. And it doesn't seem to get any better despite all the public scrutiny, reports, debates and analysis. Transparency International's Corruption Perception Index of 2008 places India at 85 rank lower than 72 in 2004. The lethal blow is in the details. The surveyors state that "around 30 per cent of Indians, officially below the poverty line, have to fork out Rs 900 crore as bribes to public servants in order to get their basic work done."

Rankings beyond comparisons are meant to awaken governments to improve the lot of the masses. As India witnesses another general election it would be instructive to see if the issues that dog India matter and are reflected in the verdict.